22.02 Negotiability and Assignability

Negotiability

Negotiability refers to the transferability of all the rights and titles on an instrument by delivery or by endorsement and delivery, vesting with the bonafide transferee for value even better title that what the transferor had. This is the unique characteristics of a negotiable instrument. In short, transferability of negotiable instruments is called negotiability.

Assignability

Assignability refers to the transferability of personal properties and rights from one person to another as gift or sale or as security. The transferee gets the same as much title as the transferor has. In short, transferability of ownership of any goods other than negotiable instruments is called Assignability.

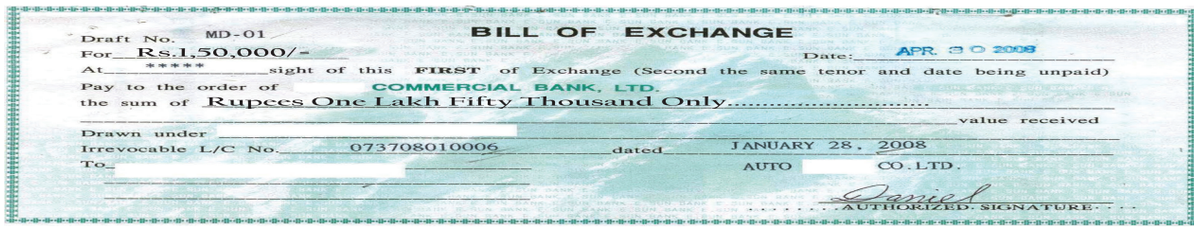
Difference between Negotiability and Assignability

Sl. No.	Basic of Difference	Negotiability	Assignability
1.	**Legal Ownership**	It passes to the transferee by mere endorsement in the case of a bearer instrument and by endorsement and delivery in the case of an order instrument.	An assignment can be made by observing certain formalities. For instance, an instrument is to be made in writing, duly stamped and signed by the transferor or his agent.
2.	**Notice**	Notice is not necessary for the holder of negotiable instrument to claim the payment from the debtor.	In case of actionable claim, notice of the assignment by the transferee regarding the transfer of debt to the debtor is necessary.
3.	**Nature of title**	Holder of negotiable instrument in due course gets a better title than even the transferor. It means that the transferee gets the instrument free from any defect existing in the title of the transferor or any prior party.	The transferee's title to the instrument is subject to the defects of the transferor's title. In other words, defects in the title of the transferor pass on to the transferee too.
4.	**Consideration**	Consideration is presumed	The assignee has to prove the consideration for the transfer.

22.03 Bills of Exchange, Cheque, Promissory Note – Comparison

Bill of Exchange – Definition

According to section 5 of the Negotiable Instruments Act, "a bill of exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of a certain person or to the bearer of the instrument".


BILL OF EXCHANGE

Draft No. MD-01

For Rs.1,50,000/-

Date: APR 30 2008

At ***** sight of this FIRST of Exchange (Second the same tenor and date being unpaid)

Pay to the order of COMMERCIAL BANK, LTD.

the sum of Rupees One Lakh Fifty Thousand Only

value received

Drawn under

Irrevocable L/C No. 073708010006 dated JANUARY 28, 2008

To AUTO CO.LTD.

AUTHORIZED SIGNATURE

12th Commerce Unit 8.indd 187 09-12-2021 11.52.24 AM